The Standard Narrative

The Action Agenda Solution

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What is a strategy? My question arises because strategy work is so frequently poorl done. The decline in strategic thinking has been driven by the parallel rise of what have come to call the "Standard Narrative."

The basic meaning of the word "strategy" comes to us from ancient Greece. In the ! century B.C., Athens would elect ten strategoi (στρατηγοί) who would meet periodically at the Strategeion, a small structure in the Agora—a central public spa There they would consider how the city-state should deal with important issues— perhaps the Spartans or Persians were planning an attack, or a plague had broken o or that the cities' finances were in ruin, or that missing cooperation was required tc build a new temple. The picture below shows me standing at the site in what remai of the Agora in modern Athens.

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Thus the proper age-old meaning of "strategy" is a set of actions designed to surmc a high-stakes challenge. Whether one is playing chess, conducting a political campaign, directing a business, or leading a military, one's strategy is a pattern of action guided by an understanding of countervailing forces: the actions of competit and enemies, the vicissitudes of nature, and the frictions and inertia inherent to soc systems.

Tragically, in the last three decades the word "strategy" has been hijacked and replaced by the "Standard Narrative." In far too many companies, in almost every U government agency, and in most universities and non-profits, the word "strategy" n denotes a particular literary form. It is a form eliciting groans of boredom and deep feelings of wasted time and effort, but which seemingly cannot be abandoned.

The Standard Narrative starts with a statement of values (e.g., excellence, saving the planet, and, today, inclusion) and goes on to enunciate broad ambitions.

For example, the Biden-Harris 2022 National Security Strategy (NSS) frames the ove situation as a conflict between the values of democracy and autocracy. The key thre are Russia, China, and climate change. It then calls for "Transformative Cooperatio with other nations that share U.S. interests; A more "Prosperous World;" A "Strong Military" based on joint integration across all domains, regions, and policies; And,

working internationally to counter climate change.

What the 2022 NSS does not do, and why it fails to drive coherent action, is recogni difficulties and challenges. Some of these are implicit yet unmentioned within the stated ambitions and others have been simply skipped. For example:

- Will European allies really join forces with the U.S. in opposing a Chinese takeover of Taiwan?
- The U.S. has been calling for "jointness" for many years. Why is this so difficul and what is actually being done to make it work this time?
- There is no mention of the challenge noted in *Foreign Policy* that "Every advanc weapon in the U.S. arsenal—from Tomahawk missiles to the F-35 fighter jet to Aegis-equipped destroyers and cruisers and everything in between—is absolut reliant on components made using rare-earth elements" that come almost exclusively from China. [1]
- With regard to climate change being an "existential threat," will the world's poorer countries really agree to stay poor rather than burn wood, coal, and oil f energy? For example, despite a U.S.-Japan deal to give Indonesia $20 billion for renewables, the Indonesian government is investing in more coal plants.

By avoiding the mention of specific difficulties or challenges, the Standard Narrati NSS sidesteps the pressure to call out identifiable actions. When one recognizes a specific difficulty it invites a specific action response. Thus, the NSS relies on statements of hubristic goals and ambitions. The consequent banality is the source the widespread general contempt for "strategy."

The Standard Narrative also courts banality by seeking to include all activities with its scope. Thus, for example, the NASA "strategy" says that it seeks to understand t earth and its climate, the sun, the solar system, and the universe, explore the moon deep space, develop a human spaceflight economy enabled by a commercial market safeguard explorers, enhance space access, innovate and advance transformational

space technologies, drive sustainable aviation, attract a talented and diverse workforce, and build the next generation of explorers.

Walking down a hallway in this kind of organization one will see a poster proclaimi these ambitions and another asking "Do you know how your job fits into the strategy?" Of course, if the strategy is a description of what all units and all employ do, it cannot focus on solving the critical challenges facing it.

At NASA, there should be a serious question as to why it remains in the rocket business now that commercial alternatives are available at less than one-tenth the c More crucially, can NASA find a way to stop being a Congressional jobs program ir which "lawmakers" specify which rockets it will build (and, implicitly, by which contractors) and then complain when the program is over budget and too slow?

The same issue arises in private companies. In too many cases, a company's "strate is only expressed as a series of ambitious goals. In *The Crux: How Leaders Become Strategists* I describe one such situation like this: [2]

> We had a four-and-a-half-day foundry during which basic guiding policies were hard fought and developed after flying in key experts on day three. As we began to conclude I had the three key tasks we had developed described on large paper easels in the fron of the room. One of the participants then asked, "But where is the strategy?"
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> "What do you mean?" I questioned back.
>
> "Well, three years ago we had a strategy that was distributed to everyone and covered lot more detail about what we wanted to do."
>
> "You mean this?" I asked, pointing to the paper document that was the three-year-old "strategy" pinned to the wall.
>
> "Yes, that," he said.
>
> I moved over to the document with my red marker in hand. I read each of the ten lines

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aloud and asked the group whether that objective had been met.

“Did you continue to lead the industry, as it says on line one?” I asked. The answer
was no because market share had been lost. I put a red X next to the line.

“Did you maintain the highest safety standards?” Yes, checkmark.

“Did you increase profitability?” No, a red X.

“Did you penetrate the Chinese market?” Not really, a red X.

“Did you maintain high employee morale and confidence?” Well, with 15 percent layoffs,
that was an interesting question. Red X.

“Did you dramatically reduce carbon-based energy usage?” Keeping it level is not a
reduction. Red X.

When I stopped, there were eight red X’s.

“Is this the kind of strategy you want to again publish?” I asked. “A document full of
pious objectives few of which will be met in the next three years?”
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That executive complained that the key action steps we had designed—actually tasl to be accomplished—were far from his company’s Standard Narrative. In his case, t Standard Narrative was a public statement of values and goals to which everyone in the company could relate.

Employees and investors have come to expect such Standard Narratives describing organization’s basic activities and key priorities. The harm arises when this is confused with an *actual* strategy—one that identifies key challenges and maps out actions to overcome them.

In my client practice, to deal with the inertia of an expected Standard Narrative, I n push the word “strategy” into the background. Instead, I have a group work on wha

have come to call an "Action Agenda." I do this with some regret since I have been a teacher and consultant on strategy for over fifty years. But many of my clients are caught in a simple trap—they want to harness the power of real strategy but they al seem to need a Standard Narrative to satisfy employees, legislators, and investors. And, to fill the "strategy" page on their Websites.

Nowadays most of my work with clients consists of conducting a Strategy Foundry. This is a two-to-four-day intense meeting of a small group (less than ten) of organizational leaders aimed at identifying the key barriers to improvement and designing action steps to overcome those barriers.

The idea of the Foundry arose with the gradual realization that most organizations not need further deep analysis to do strategy work. What they needed was a focus o challenge and action. Their problem was not insufficient knowledge, but (a) thinkin of strategy as the Standard Narrative, and (b) being unable to grasp the gains from implementing the *unrecognized simplicities of effective action*. As Dominic Cummings insightfully remarks, [4]

> The gains from implementing *the unrecognised simplicities of effective action* (e.g re clarity of priorities, really fighting the entropy of talent in large organisations) co mostly over longer time horizons than the costs and problems. This is why these simplicities are, as Charlie Munger says, 'unrecognised' and why we live in a wor where there is perpetually vast amounts of apparently low-hanging fruit in politi that are incredibly hard to pick and eat.

In many cases, the barrier to effective action is not insufficient IQ or analysis—it is the logjam of competing interests, the powerful frictions of interpersonal and interdepartmental competition, and the natural inertia of complex organizations. Coherent action is deferred until the wolf is at the door. Or, actually past the door a in the cabin.

The power of a well-facilitated Strategy Foundry is in having a group of executives

pierce the veil of each others' expectations and reach what might be a fairly private consensus on what is actually both important and actionable. Usually, it requires a focus on problem-solving which leads to a set of fairly simple actions. The difficult getting there is breaking the habit of mistaking goals for strategy and the tradition having a present under the Christmas tree for each interested party.

Nowadays, I call the output of a Strategy Foundry an "Action Agenda." I do this to emphasize the centrality of action. When a group has to focus on actual tasks rathe than goals, it is immediately and painfully clear that one cannot undertake too man actions at once. I also do this to break the almost automatic reflex of creating anoth Standard Narrative. The organization can, if it must, have a banal published "strate and, at the same time, leadership can create a powerful Action Agenda. This set of tasks does not have to be made public or endlessly repeated to employees.

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1 Keith Johnson and Lara Seligman, "How China Could Shut Down America's Defenses," *Foreign Policy*, June 11, 2019.

2 Rumelt, Richard Post. *The Crux: How Leaders Become Strategists*. PublicAffairs, 2022. p. 32

3 Registered trademark. See chapters 19-20 in *The Crux.*

4 Dominic Cummings on Substack, #6 Regime Change.

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Jerald Sep 4, 2023

Professor Rumelt, as a 'strategy facilitator' I've been reading and rereading what you've written a the two books. Thank you for helping me to get a better understanding of what good strategy loo like.

I realise the weakness of following a template for strategy formulation, but I wondered if the pro was the lack of proper analysis of difficulties and challenges prior to using the strategy template: could we still use strategy templates if people's minds were primed with something like a SWOT analysis?

And would something as basic as SWOT be enough to help with the diagnoses and guiding polici a consultant/facilitator, could you share how much work we might have to do prior to a strategy foundry, whether with the client sponsor or our own independent research?

I appreciate you taking the time to explain this to me if possible. I come from Singapore and I'm interested to bring your work to the South East Asian part of the world. Let me know if there's a b way to reach you!

LIKE REPLY

Ban Mittal, Ph.d. May 1, 2023

Ban Mittal, Ph.d.

just now

This is a poignant essay. Many good, for-profit businesses do real strategize—their market viabil depends on it. In contrast, the standard narrative is particularly the darling of not-for-profit organizations that are “visibly” doing well already. There, the strategy preparation is a public rela tool and also a means of “internal feel good.” Often, the preparation of the document (which the unattended) is itself deemed an accomplishment. This “strategy document” prepared after week organizational pseudo-intellectual” loud thinking, does not make a single employee ask: Now wh I have to be doing different!!! The answer is already there: Nothing. External publics are satisfied the strategy document reads impressive and the conclusion of the document is occasion for inter celebration!! So, yes, your alternative paradigm, that demands us to ask what strategic problem w need to solve and then concretely by what NEW action shall we solve it” might bring some hones the whole idea of strategy preparation. iMHO

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